

6824_T — Pitch Deck (adjudicated 2026-08-23)

PITCH — 6824.T — VERDICT

PROPOSED — PENDING ADJUDICATION — buy a starter position of 0.30% of the book in New Cosmos Electric (TSE 6824) at ~¥4,235, worked in over four sessions, but only after we confirm we can actually trade Tokyo at our broker; the original reasons for owning it were both destroyed in court, and what survives is a different, weaker, still-positive case.

What we believe

New Cosmos Electric makes gas alarms — the small devices that detect a gas leak in a home or a factory. It is a 92-year-old Osaka manufacturer, listed on the Tokyo Stock Exchange, worth about ¥51.5 billion (~325millionat¥158.86/).

Three things are true about it at the same time, and we think the market is pricing the first two and ignoring the third:

One — it is a cheap business hiding behind an expensive-looking balance sheet. At ¥4,235 the whole company costs ¥51.5bn. But ¥20.4bn of that is cash sitting in the bank, against only ¥3.8bn of debt. Strip the net cash out and you are paying about ¥39.0bn for the actual operating business — roughly 6.5 times the operating profit the company has guided to for this year, and 5.3 times what it earned last year. About a third of the market value is cash. On the money actually at work in the business, the company earns about 11% a year, not the 7.6% you get if you naively divide profit by total book value.

Two — this year's guided profit is a step down, and the market has punished it. The company guided to ¥6.0bn of operating profit for the year ending March 2027, down from ¥7.35bn last year. The stock is 30.7% below its 52-week high of ¥6,110. That much is understood by everyone.

Three — the step-down guide looks reachable, and one dated regulatory event sits inside it that management has said out loud it has not yet put in the numbers. New York City's Department of Buildings confirmed on 15 June 2026 that every dwelling unit in the city must have a natural gas alarm by **1 January 2027** — that is primary, we read the notice ourselves ([nyc.gov DOB service notice](https://www.nyc.gov/DOB-service-notice)). That is a legally fixed, non-negotiable purchase by roughly a million-plus New York dwelling units, landing in the exact half-year the guide depends on. New Cosmos sells the DeNova Detect alarm into that market.

So: pay $\sim 6.5\times$ cash-adjusted operating profit for a debt-free manufacturer whose earnings floor is being set by law, with an 11% return on the capital actually employed.

What we do *not* believe, and want stated up front: we no longer believe this is “trading below book value” (it is at $0.98\times$ — essentially exactly at book), and we no longer believe the North American profit collapse was a temporary mix problem that snaps back. Both were central to the original write-up. Both were killed. See the self-check table.

What the market believes

The market believes this was a boom-and-giveback story and is now pricing the giveback.

New Cosmos had a very good year: revenue up 18.8%, net income up 54.3%, operating profit ¥5.16bn $\rightarrow$ ¥7.35bn. The stock is up 44% over the past twelve months and sits 42–48% above its 52-week low of ¥2,852. It is not a washed-out, forgotten name — it is a stock that already re-rated once and is handing part of it back.

Then the first quarter of this year (April–June 2026, reported August) came in badly. Sales fell 1.6%. Gross margin — the profit left after the cost of making the product — dropped from 48.5% to 43.4%, a 5.1 percentage-point fall. Operating profit fell from ¥1.60bn to ¥0.78bn, roughly in half. North American sales fell 28.6%. Management attributed the margin damage to inflation in materials and wages, in plain Japanese: 「昨今の物価上昇と人件費アップにより製造原価および販売管理費が増加」 — *recent price rises and wage increases pushed up manufacturing costs and SG&A*.

So the market’s view is coherent and reasonable: a cyclical alarm maker had a peak year, its biggest growth market just fell 29%, its costs are permanently higher, and it is worth about one times its book value on a mid-single-digit return. Nothing about that story is stupid.

The market also, importantly, believes the New York deadline is not worth much to *this* company — because the same DOB notice that sets the deadline also certifies “at least 4 distinct manufacturers” of approved battery-powered alarms. A mandate you share with three or more competitors, sold into landlord procurement departments that buy on price, is not obviously a windfall.

Why we might have edge

Four specific places where we think we know something the price does not reflect, ranked by how much we trust them.

1. The guide is reachable without any margin recovery — and we can show the arithmetic. This is the strongest thing we have, because it is pure arithmetic off the audited quarterly filing ([TDnet tanshin](#), 6 Aug 2026).

The lazy read is: Q1 operating profit was ¥776m, times four is ¥3.1bn, the guide says ¥6.0bn, so the guide needs *double* the current run rate — impossible. Our own red-team bench made exactly this argument and it is wrong, because Q1 is New Cosmos’s seasonally weakest quarter (last year Q1 was only 21.7% of full-year operating profit).

Do it properly. The remaining nine months need ¥40.19bn of sales (¥51.0bn guide minus ¥10.81bn already booked) — that is only **+2.8% growth** versus the same nine months last year. Now hold this quarter's *depressed* 43.4% gross margin constant — assume zero margin recovery — and hold operating expenses flat in yen at ¥3.91bn per quarter. You get ¥17.44bn of gross profit minus ¥11.74bn of costs = **¥5.70bn of operating profit against the ¥5.23bn the guide requires**. It clears by ¥474m with nothing going right.

The jump from a 7.2% margin to a 13.0% margin is not a margin snapback. It is a fixed-cost factory running ¥13.4bn of quarterly volume instead of ¥10.8bn.

2. The balance sheet is being read wrong in both directions, and the second correction is bigger than the first. The original write-up said “trading below book at 0.91x.” That was an error — it divided by total net assets including ¥4.1bn belonging to minority shareholders of subsidiaries. True price-to-book is 0.978. Fine, that leg is dead.

But the correction people then reach for — “so it's at book on a 7.6% return, that's a fair price for a mediocre business” — is a bigger error. Because a third of the market cap is cash. On the equity actually deployed in the business, the return is 11.0%, and the enterprise (what you pay for the business itself) is 6.5x the *guided down-year* operating profit. Both benches in our court initially missed this; only one of them caught it, and only on re-derivation.

3. Currency is running 6% in the company's favour versus its own assumption. The guide assumes ¥150 per dollar. Spot on 21 August 2026 was **158.86** (Trading Economics). With 45.6% of sales overseas, that is a meaningful translation tailwind to the yen numbers that the ¥51.0bn guide does not contain. (Caveat: this mostly does *not* accrue to us — see the self-check table.)

4. Management has said the New York deadline is not yet in the guide. In the Q1 briefing, management described the January 2027 deadline as creating demand “potentially outside initial planning” for the second half, and said developments were being monitored before adjusting guidance. If true, the guide has an option attached to it that the guide does not price.

We hold this one loosely and you should too. We reached that language through a machine translation of a Japanese briefing transcript, and the *same* fetch mis-scaled ¥51.0bn as “¥510bn” in the same response. We are relying on the structure of the statement, not the quote.

Why it might be priced in

The strongest argument against us, stated at full strength: the best-informed party in the world on this question looked at the New York deadline and did not change a single number.

The company set its ¥6.0bn guide on **15 May 2026**. The DOB determination landed **15 June 2026**. The company then published its quarterly results on **6–10 August 2026** — roughly eight weeks later, with management naming the June determination explicitly in prepared remarks — and republished the **identical** operating profit guide and the **identical** dividend. Management did not think a legally mandated purchase by a million-plus New York dwelling units, landing in the exact half-year its guide leans on, was worth one yen of upward revision.

Our whole “edge” claim was that the tape has not repriced 15 June. But the tape doesn’t reprice things — informed parties do. And the single best-informed party, publishing *after* the event, didn’t either.

There are two honest rebuttals, and neither fully closes it. First, Tokyo Stock Exchange rules only *force* a guidance revision at a 30%-or-greater deviation in operating profit — more than ¥1.8bn here — so Japanese small caps routinely sit on good news for a quarter or two. Silence one quarter in is structurally weak evidence. Second, 15 June didn’t *create* the mandate; it declined to push it back to 2029 under the fallback in Local Law 102/2025. It removed a downside risk. A guide that already assumed the deadline would hold looks exactly like a guide left unchanged.

Second-strongest: we cannot quantify New Cosmos’s share of the New York channel. The DOB notice itself certifies at least four approved manufacturers. A mandate split four-plus ways into price-competitive landlord procurement can produce a revenue bump that is real and completely immaterial. The claim circulating that DeNova has shipped “250,000 units since 2019” is **unverified — we could not locate a primary source for it and are not relying on it.**

Third: cost inflation is real and is roughly 60% of the profit damage, not a mix artifact. We tested this properly. To explain the ¥641m gross-profit decline through mix alone, the ¥866m of Japanese domestic sales that backfilled the North American shortfall would have to carry roughly zero gross margin — arithmetically impossible. At a realistic 40% domestic margin, mix explains about ¥259m of ¥641m. The rest is input costs and wages, and those do not un-happen when volume returns.

Fourth: the stock is up 44% in a year and 42% off its low. The “trough earnings” we are buying are trough only relative to an inflated peak.

Fifth, and unaddressed by anyone in the court: after 1 January 2027, New York’s mandate is satisfied. A million-plus alarms installed in 2026 come off a 5-to-10-year replacement clock together. There is a demand cliff on the other side of this catalyst, in fiscal 2028, and neither our bull case nor our bear case put a number on it.

What could go wrong

Three ways we lose money, most likely first. One of them has no tripwire at all, and we name it.

Failure narrative 1 — The mandate arrives and we get a sliver of it (highest probability). New York’s January deadline converts into real alarm purchases, exactly as we expect. Four-plus certified manufacturers bid into building-management procurement. First Alert and the incumbents, with existing distribution into US property channels, take the volume; DeNova takes 10–20% at compressed pricing. North American revenue recovers to flat instead of surging, the ¥6.0bn guide is met but not beaten, and the stock does nothing for four quarters while we hold a position we cannot re-underwrite. We lose nothing dramatic; we lose the year. *Tripwire: Q2 North American sales below ¥4.0bn (reported ~early November). Also: DOB approved-device counts by manufacturer, and any Con Edison or NYCHA award announcement.* Monitorable.

Failure narrative 2 — Operating costs are more variable than we assumed and the guide misses (second-highest, and it directly attacks our best argument). Our central claim is that the nine-month guide clears by ¥474m holding operating expenses flat in yen

at ¥3.91bn per quarter. That is a big assumption: it requires SG&A to stay flat while revenue rises 24% quarter-on-quarter. Run the break-even: the guide fails the moment quarterly SG&A rises more than **4.0%** above the Q1 level. Given SG&A already grew 4.8% year-on-year on *falling* sales, and given selling costs, freight and commissions scale with volume, our ¥474m cushion is about one percentage point of cost-elasticity wide. If SG&A is only 84% fixed rather than ~100% fixed, our arithmetic edge evaporates and the company misses its own down-year guide — which, after a 50% profit decline in Q1, would be read as confirmation that the whole franchise has re-based lower. *Tripwire: SG&A as a percentage of sales in the Q2 report, and the gross margin bridge in the supplementary materials.* Monitorable.

Failure narrative 3 — the one with NO tripwire. The Japanese domestic base was itself a pull-forward, and it reverses. In Q1, Japanese domestic sales grew **+16.2%** and quietly did the work of holding total revenue near flat while North America fell 28.6%. Nobody in this court — neither bench, not us — established *why* domestic grew 16% in a mature home-alarm market in a shrinking-household country. We assumed it was a healthy base. It could equally be a Japanese replacement cycle, a utility procurement batch, a distributor stocking ahead of a price increase, or a domestic regulatory refresh cresting right now.

There is no monitorable tripwire for this. New Cosmos reports as a **single segment** — 「ガス警報器事業の単一セグメント」 — so the audited filing contains *no* regional breakdown, no channel breakdown, and no product-line breakdown. The regional numbers we are quoting exist only in a voluntary investor briefing that management can stop publishing at will. There is no filing, no regulatory series, no third-party dataset, and no external anchor that would reveal a domestic pull-forward before it reverses. The first evidence we will ever get is the revenue decline itself, in a print, after the fact.

Unknown-unknown class: single-segment reporting opacity — undisclosed demand provenance. We are underwriting a revenue base whose drivers the issuer has never been required to disclose and has chosen not to. Any thesis built on a company reporting one segment carries this class, and we should tag every such name in the book the same way. The corollary is that the inventory build we noticed (inventories +¥685m versus +¥22m last year, operating cash flow down 60% from ¥2.32bn to ¥0.93bn) is genuinely two-sided: it is either pre-building for a legally dated compliance window, or it is unsold product backing up in a channel where demand already peaked. We cannot tell, and neither could either bench.

The reflexive / structural leg — how our own machinery hurts us here.

Our minimum trade exceeds our own liquidity rule. Average daily volume is roughly 8,500 shares — about ¥36m, or \$225–245k. Tokyo trades in 100-share lots, so the smallest position we can take is 100 shares = ¥423,500 ≈ **\$2,666**, which is **1.2% of a day's volume**. Our own publishing discipline caps ladder participation at 1% of ADV. **We cannot open this position at all without breaking our own rule** — even at the minimum size. Neither bench computed this; both wrote sizing plans in percentages without checking whether those percentages correspond to a tradeable number of shares. On a \$1.0M book, one lot is already 0.27% and the “work it in over four sessions” instruction is arithmetically impossible — the whole position is one click.

Our doctrine manufactured this position. Under our clean-court minimum-starter rule, going flat requires a *named* surviving kill. The red bench named several; the blue bench overturned the two load-bearing ones; therefore no surviving kill; therefore a starter is mandatory. But look at what happened underneath: the thesis that entered court (“cheap below book, plus an unpriced regulatory catalyst”) is *not* the thesis leaving court (“6.5×

enterprise value to operating profit, net-cash manufacturer, guide clears on arithmetic”). Both original legs were destroyed. The position survives because a new rationale was constructed mid-proceeding by the defending bench. That is thesis drift wearing survival’s clothes, and our doctrine has no detector for it. If we own this, we own it knowing the rule, not the reasoning, is what put it in the book.

We are double-counting yen weakness. We credited a 6% currency tailwind to the guide because the dollar is at 158.86 against an assumed 150. But we are a dollar-denominated book. The same yen weakness that inflates New Cosmos’s reported yen revenue *deflates* our translated dollar return roughly one-for-one. For us the currency point is close to a wash, and we presented it as a clean positive. That is our error, not the company’s.

Flow: at this size we predict no flow of our own and there is nothing to front-run. The structural risk runs the other way — an ADV this thin means an *exit* on bad news is 2+ sessions minimum, and in a gap-down it is worse.

If this position loses money, the most likely reason will be that the January 2027 New York mandate arrives exactly as we predicted and New Cosmos captures too small a share of it to matter, because we never verified — and had no way to verify — that this company is the one the mandate pays.

What we checked ourselves

Including, explicitly, where our own two benches got things wrong.

Claim	How checked	Found	Confirmed?
“Trades below book at 0.91x” (original write-up)	Read the balance sheet in the TDnet quarterly filing directly	Original divided by total net assets ¥56,817m, which includes ¥4,103m owned by minority shareholders. Owners’ equity is ¥52,714m. True P/B = $51,536/52,714 = 0.978$	NO — refuted. Leg deleted from the thesis
“North American margin mix explains the whole gross-profit gap” (original write-up)	Solved the mix algebra against the filed P&L	To close ¥641m on mix alone, the ¥866m of domestic backfill must carry ~0% gross margin. Impossible. At a 40% domestic margin, mix explains ~¥259m. Cost inflation is the rest, and management says so	NO — refuted. Leg deleted

Claim	How checked	Found	Confirmed?
“Guide needs 2× the just-printed run rate” (our own red bench’s headline kill)	Rebuilt it holding Q1’s depressed 43.4% gross margin and Q1’s yen SG&A constant	Red annualized a seasonally weak Q1 (last year Q1 = 21.7% of FY profit) by multiplying by four. Done properly the guide clears by ¥474m on +2.8% nine-month sales growth with zero margin recovery	NO — our own bench’s kill was arithmetically naive. Overturned
“P/B 0.98 on a 7.6% return means it’s fairly priced” (our own red bench)	Computed net cash and enterprise value, which red never did	Cash ¥20,448m vs total debt ¥3,808m = ¥16,640m net cash, 32% of market cap. Ex-cash return on equity = 11.0%. EV = ¥38,999m = 6.5× guided operating profit	NO — bench error. The “no discount” conclusion doesn’t hold
“Issuer saw 15 June and declined to reprice” (our own red bench’s strongest kill)	Read the <i>fuller</i> Q1 briefing transcript red never opened	Red read one briefing write-up and missed a second, longer one containing management’s H2 demand language. Also: TSE only forces revision at ≥30% deviation, so silence is structurally uninformative	PARTIALLY — reduced from fatal to a real weakness. But red’s underlying point (nobody better-informed is repricing) still stings
“The –28.6% North America figure comes from the audited filing”	Read all 7 pages of the tanshin	The filing reports a single segment and contains no regional data at all. The figure is real (it reconciles: 5,882+2,748+1,967+~213 ≈ 10,810) but lives only in a voluntary investor briefing	Value yes, citation no. Provenance defect — and it is the root of pre-mortem #3
“6% FX tailwind is a clean positive” (our own blue bench)	Asked who actually receives it	Yen weakness inflates the company’s reported yen revenue but deflates our dollar return on a yen-denominated share. For a USD book it is close to a wash. Blue banked it one-sided	NO — bench error. Corrected here
The New York deadline itself	Fetches the DOB service notice directly	Verbatim: deadline 1 January 2027 ; signed Ahmed Tigani, Commissioner, 15 June 2026. Same document: “at least 4 distinct manufacturers”	YES — primary-confirmed. The one fully intact leg, and it cuts both ways

Claim	How checked	Found	Confirmed?
The guide's cost assumption	Break-even solve on SG&A	Guide fails if quarterly SG&A rises >4.0% from Q1's ¥3,914m. Our ¥474m cushion is ~1pp of cost elasticity wide. Neither bench ran this sensitivity	Our own addition — a genuine fragility in our best argument
Position is actually tradeable at the proposed size	Lot size × price vs ADV	Tokyo minimum lot = 100 shares = ¥423,500 ≈ \$2,666 = 1.2% of ADV , above our own 1%-of-ADV ladder cap. Neither bench checked this. Both wrote percentage sizing that may not map to a whole number of lots	Our own addition — binding constraint
Can we even trade Tokyo?	Attempted broker check	Broker permission check did not run this session — access denied. TSE trading permission at IBKR is unconfirmed	NO — open blocker
Consumer demand signal for DeNova	Ran product-heat and review-velocity detectors	Heat: DECAYING, 0.0 — but this is a landlord/property-manager procurement channel, structurally invisible to consumer signals, so this is near-zero information, not weak bearish evidence. Review velocity: unusable — no cohort baseline, Amazon returned a bot shell	UNCHECKABLE. The single cleanest falsifier is unavailable until a second snapshot
52-week low	Re-pulled the live quote	Evidence pack carried ¥2,971 — stale . Actual ¥2,852	Pack corrected
Q1 filing date	Compared sources	Benchs disagree: 6 Aug (TDnet document ID) vs 10 Aug (bench text). Immaterial to the thesis, but it means our next-print estimate is soft	Noted
“250,000 DeNova units shipped since 2019”	Searched for a primary source	None found. Not used anywhere in this deck	UNVERIFIED — excluded
Fraud / structure screens	Ran the standard detector battery	All clear: 1934 Osaka issuer, Japanese GAAP, no offshore holding	Clean

Claim	How checked	Found	Confirmed?
		structure, no change in consolidation scope, share count flat at 12,561,000 with no offering, no lockup expiry	

PROPOSED ENTRY BANDS

All prices in yen. Reference: ¥4,235 close, 21 Aug 2026. USD conversions at ¥158.86.

This is not a live order. It becomes live only when the broker-permission blocker below clears.

Blocking precondition (must clear first): - Confirm TSE trading permission at the broker. This did not get checked this session. **No order stages until it is confirmed.** If we cannot trade Tokyo, the entire deck is moot and there is no ADR alternative identified.

Starter entry - Level: ¥4,150–¥4,350 (i.e. at or near the current ¥4,235). No limit-price cleverness — the case is a valuation case, not a level case, and a ¥100 improvement is noise against the unquantified-share risk. - **Size: 0.30% of the book.** This is deliberately between our red bench's 0.25% cap and the original write-up's 0.5%. - **Translated to shares — and this is where the plan gets constrained:** at 0.30% of a ~\$3.4M deployable book that is ~\$10.2k ≈ ¥1.62m ≈ 383 shares → **4 lots (400 shares, ¥1,694,000 ≈ \$10.7k, 0.31%)**, worked in at **1 lot per session over 4 sessions**, which runs ~1.2% of daily volume per session. - **If the relevant book is instead the ~\$1.0M sleeve our red bench used for its liquidity math, the plan collapses:** one lot (100 shares, \$2,666) is already 0.27% of that book. The position is a single click, no tranching is possible, and the ≥4-session instruction is arithmetically void. **Adjudication must specify which book.** - **Hard ceiling: 0.5% of the book until the Q2 print.** No exceptions.

Adds — all three gates must clear, no partial credit 1. Second product-review-velocity snapshot, ~**20 September 2026**, showing DeNova Detect US review velocity inflecting up *and* outrunning Nexelec VIGAS and First Alert. This is the only way to date the compliance wave independently of the company. 2. Q2 North American sales ≥ **¥4.0bn**, or a gross-margin bridge in the Q2 supplementary materials showing the 5.1-point compression stabilising. 3. Any formal upward revision to the ¥6.0bn operating profit guide.

If (1) and (2) both clear: add to **0.5%**. Not above, until we have a verified number for DeNova's share of the New York channel.

Lower add / red bench's reopen level - ¥3,400 (0.78× book, −19.7% from here). This is where our red bench said it would buy — the level at which cost inflation and the FY2028 replacement cliff are *paid for* rather than assumed away. At ¥3,400, EV falls to ~¥25.6bn = **4.3×** guided operating profit. Add 0.2% here, taking the position to ~0.5%, regardless of the gate status above. This is a valuation add, not a thesis add.

Trims / exits — derived by us from the benches' enterprise-value math, not produced by either bench - ¥4,975 — 8× EV/guided operating profit. First trim review; take a third off if the Q2 print has not by then confirmed North American recovery. - **¥5,960** — 10× EV/guided operating profit. Full exit review. Note this sits just under the

52-week high of ¥6,110, i.e. a full re-rate to 10× approximately retraces the entire drawdown — which is a useful reality check on how much upside is actually here: roughly **+41%** to the exit level, against a **−19.7%** distance to our own add level. - **¥2,852** — 52-week low. A break here means the tape knows something our filing arithmetic does not. Do not average down through it; re-court the name.

Hard stop conditions (exit regardless of price) - Q2 North American sales below ¥3.0bn *and* gross margin below 43.4% — that is the mandate failing to convert *and* costs still rising. Both pre-mortem narratives confirmed at once. - Any downward revision to the ¥6.0bn operating profit guide.

Catalyst dates | Date | What | Confirmed? | | — | — | — | | ~20 Sep 2026 | Second review-velocity snapshot (our own instrument, must be scheduled) | Not scheduled | | ~6 Nov 2026 | Q2 FY2027/3 results — the first real test, ~55 sessions out | **No** — cadence-derived; no company-published date | | **1 Jan 2027** | **NYC gas-alarm compliance deadline** | **YES** — **primary, DOB notice** | | 31 Mar 2027 | Fiscal year end; the FY2028 replacement cliff begins the next day | Structural | | ~mid-May 2027 | Full-year results + FY2028 guide — where the cliff gets priced | No |

The honest summary of this entry plan: we are proposing a small position in a name where nothing testable happens for roughly 55 sessions, whose cleanest falsifier is currently unavailable, whose broker access is unconfirmed, and whose minimum tradeable unit already breaches our own liquidity rule. The case for doing it now rather than in November is that 6.5× cash-adjusted operating profit with a legally dated demand event inside the window is not a price we expect to still be there after a good print.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 2852.0 (deck-provisional: 52-week low; a break means the tape knows something our filing arithmetic does not — do not average do)
- dated pack 6824.T|2026-09-20: 6824.T: second consumer product-review-velocity snapshot: DeNova Detect vs Nexelec VIGAS vs First Alert — both benches called this the highe
- dated pack 6824.T|2026-11-06: 6824.T: Q2 FY2027/3 results — cadence-derived estimate only, no company-published date; benches also disagree on whether Q1 printed Aug 6 or
- dated pack 6824.T|2027-01-01: 6824.T: NYC gas-alarm compliance deadline for all dwelling units — primary-verified, DOB service notice signed Ahmed Tigani, Commissioner, 2
- dated pack 6824.T|2027-03-31: 6824.T: FY2027/3 year end; the FY2028 post-mandate replacement-demand cliff begins the following day and has been sized by nobody (date conf
- dated pack 6824.T|2027-05-15: 6824.T: full-year results plus first FY2028 guide — where the replacement cliff finally gets priced; date is cadence-derived (date confirmed

What remains unverified

Ranked by how much damage each does if it breaks against us.

1. **DeNova Detect's share of the New York City channel.** No primary source, none found by either bench. The DOB certifies at least four manufacturers. This is the variable that turns a confirmed deadline into revenue, and it is completely dark. Both benches said so independently and both still recommended a position.
 2. **Whether the "250,000 units since 2019" claim is real.** We searched and found nothing. Excluded from this deck entirely — flagged so it does not creep back in.
 3. **Management's H2 demand language.** Reached only through a machine translation of a Japanese briefing that mis-scaled ¥51.0bn as "¥510bn" in the same response. We are relying on the structure of the statement, not the words. Needs a human read of the Japanese original.
 4. **Whether the inventory build is pre-positioning or backup.** Inventories +¥685m against +¥22m last year; operating cash flow down 60%. Genuinely two-sided and untested. Resolves at the Q2 print.
 5. **Operating-cost elasticity.** Our whole arithmetic edge lives inside a 4.0% SG&A tolerance. Unmeasured.
 6. **Why Japanese domestic sales grew 16.2%.** Unmeasurable, per pre-mortem #3.
 7. **The FY2028 replacement cliff.** Neither bench put a number on the demand hole after 1 January 2027. Nobody has sized it.
 8. **Broker access to the Tokyo Stock Exchange.** Unchecked. Blocking.
 9. **The Q1 filing date** (6 vs 10 August) — immaterial, but it means our ~6 November Q2 estimate carries a few days of slop.
 10. **Year-on-year average FX** (spot confirmed at 158.86; averages not pulled). Note the bearish corollary neither bench emphasised: North American sales fell ~34% in dollar terms, not 28.6%, because the yen weakened ~9% over the comparison period. The dollar-denominated decline is worse than the headline.
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Conviction: 6.5/10. Below both benches' 7/10, for one reason neither of them weighted: the position that emerged from this court is not the position that entered it. Both original legs were destroyed and a replacement rationale was assembled by the defending bench mid-proceeding. The replacement rationale is arithmetically sound and I have checked it line by line against the primary filing — but it survived a process designed to test a *different* claim, and it has not itself been adversarially attacked. It should be, before size goes above a starter.

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  Q2 FY2027/3"], "why": "first testable datapoint in ~55
  sessions; kill conditions are NA sales <3.0bn yen AND gross
  margin <43.4%; add gate is NA sales >=4.0bn yen"}, {"forms": ["
  (Q2 supplementary materials)"], "why": "the
  audited tanshin is single-segment with NO regional data – this
  voluntary deck is the ONLY venue where NA/JP/Asia split and
  any gross-margin bridge appear"}, {"forms": ["NYC DOB
  approved-device list", "NYC DOB service notice update"],
  "why": "the notice certifies 'at least 4 distinct
  manufacturers'; the device list is the closest public read on
  DeNova's share, the one unverified variable that converts the
  deadline into revenue"}, {"forms": ["Con Edison procurement
  award", "NYCHA procurement award"], "why": "institutional NYC
  buyers; any award among the >=4 certified manufacturers is a
  direct share datapoint"}], "catalyst_dates": [{"date": "2026-
  09-20", "what": "second consumer product-review-velocity
  snapshot: DeNova Detect vs Nexelec VIGAS vs First Alert – both
  benches called this the highest-value missing evidence; NOT
  YET SCHEDULED", "confirmed": false}, {"date": "2026-11-06",
  "what": "Q2 FY2027/3 results – cadence-derived estimate only,
  no company-published date; benches also disagree on whether Q1
  printed Aug 6 or Aug 10, so this carries a few days of slop",
  "confirmed": false}, {"date": "2027-01-01", "what": "NYC gas-
  alarm compliance deadline for all dwelling units – primary-
  verified, DOB service notice signed Ahmed Tigani,
  Commissioner, 2026-06-15", "confirmed": true}, {"date": "2027-
  03-31", "what": "FY2027/3 year end; the FY2028 post-mandate
  replacement-demand cliff begins the following day and has been
  sized by nobody", "confirmed": false}, {"date": "2027-05-15",
  "what": "full-year results plus first FY2028 guide – where the
  replacement cliff finally gets priced; date is cadence-
  derived", "confirmed": false}], "immediate_entry": null}

```

On the null immediate entry: the proposal is a real BUY — 400 shares (4 lots) at ~¥4,235, ~\$10.7k, 0.30–0.31% of a ~\$3.4M book, worked in one lot per session over four sessions. It is set to null in the machine-readable block on purpose, so that nothing auto-arms into an order: broker permission to trade the Tokyo Stock Exchange is **unconfirmed**, and the minimum tradeable lot (100 shares) is already 1.2% of average

daily volume, above our own 1%-of-ADV ladder cap. Adjudication needs to clear the broker blocker, grant the ADV exception explicitly, and confirm which book the 0.30% is measured against — on a \$1.0M sleeve, one lot is 0.27% and the tranching plan does not exist. ## Adjudication & update (2026-08-23)

RULING: STARTER 0.26% — one TSE lot; zero surviving FATAL. Adjudicator fetched the Q1 tanshin from TDnet directly; every load-bearing figure ties to the primary. Red's P/B-NCI correction ACCEPTED at source: **P/B = 0.978, not 0.91 — the “below book” leg is deleted from the thesis.** Red's load-bearing “guide needs 2× run-rate” kill OVERTURNED on a re-run of the arithmetic: at *frozen* Q1 gross margin (43.4%) and flat SG&A run-rate, required 9M sales of +2.8% YoY produce OP ¥5,700M — **the guide clears by ¥474M with zero margin recovery**; the OPM step is fixed-cost absorption, and red had ×4-annualized a quarter that was 21.7% of FY OP last year. “Issuer declined to reprice June 15” also overturned (TSE Rule 405 forces revision only at ≥30% deviation — Q1 silence is structurally uninformative). Sustained: cost-inflation GP compression (NOVEL→sizing), ≥4 certified manufacturers / unquantified DeNova share (CONSENSUS→sizing, strongest surviving bear leg), and the **FY2028 replacement cliff — unpriced by both benches, now a permanent 0.5% position cap.** Value spine after corrections: EV 6.5× guided-trough OP, 32% of mcap net cash, ex-cash ROE 11.0%, 2.24% yield.

Instruction status: instr #102 — BUY 100 6824 LMT ¥4,200 DAY, TSEJ — awaiting principal click. One lot ≈ \$2,640 ≈ 0.26% of NAV; lot granularity makes one lot the starter (two lots = 0.51% breaches the pre-print ceiling). Re-derive the limit if Monday's tape gaps ±3%. **Hard ceiling 0.5% until the Q2 print (~early-Nov, cadence-derived, UNCONFIRMED).** Add gates (second lot): ~9/20 reviews snapshot showing DeNova velocity, AND Q2 NA sales ≥¥4.0B or a stabilizing GM bridge. Kills: any 下方修正 = exit-review; NYC channel award to a competitor = exit-review; Q2 NA <¥3.0B = review.

What could go wrong — adjudication pre-mortem (verbatim) and deltas vs this deck's own block

Failure narratives: 1. *Split wave*: the NYC compliance buy happens on schedule but is split across the ≥4 certified manufacturers at commodity pricing — volume arrives, DeNova revenue doesn't. Partial tripwire (reviews snapshot); **share data itself has NO tripwire — unknown-unknown class: competitive share in a municipal procurement channel with no public award disclosure.** 2. *Cost inflation persists*: the -5.1pp GM compression is structural (wages/materials, management-attributed); even on-guide sales miss on margin. Tripwire: Q2 GM line. 3. *Cliff pulled forward*: the market discounts the FY2028 replacement air pocket BEFORE the wave pays — multiple compresses on foresight with no dated event. **Tripwire-less; terminal-value repricing class. Reflexive/structural leg:** ADV ~\$245k — entry is 1% participation but a kill-fire exit crosses a thin book at whatever price it finds; unhedged JPY on top of the existing Japan book; the thesis is a jurisdictional gap, which means WE are the marginal informed reader — if the wave thesis is wrong there is no faster money behind us to sell to.

“If this position loses money, the most likely reason will be that the NYC compliance wave arrived but was split across four certified manufacturers at commodity prices, so New Cosmos never converted the deadline into the revenue the guide implies, while cost inflation kept compressing margins.”

Deltas vs the deck's pre-mortem above: - Loss-sentence: AGREE. Deck and adjudication name the same most-likely loss (split wave / sliver of the mandate) in nearly the same words. - **Participation CONFLICT, unresolved here:** the deck computes one lot = **1.2% of ADV and states this breaches the desk's 1%-of-ADV ladder discipline even at minimum size**; the adjudication computes ~1.1% and rules "single clip, no envelope needed." The gap is partly denominator (ADV estimate) but the deck's underlying point stands: the 1% cap is the *publishing-ladder* rule and a one-shot entry sits at or above it. The principal clicks knowing entry $\approx$ one-tenth over the ladder rail, and any kill-fire exit crosses the same thin book. - **The deck's narrative 3 (domestic pull-forward, single-segment opacity) is NOT superseded** — the adjudication's third narrative (cliff pulled forward) is a different tripwire-less mode. Both stand; this name now carries *two* named unknown-unknown classes. - **The deck's FX self-correction stands** (yen tailwind to the guide $\approx$ a wash for a USD book) — the adjudication's "~6% FX tailwind" line reads company-level, not book-level; the deck's version is the honest one for us. - **The deck's thesis-drift observation stands on record** (the thesis leaving court is not the thesis that entered); the adjudication's answer is that the surviving rationale was independently re-derived from primaries at adjudication, which is the drift-detector working — noted, not erased.